Profit

Exam code: 9BS0

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Profit calculations

- Profit is the money left over **after all costs have been accounted for**
- There are several different types of profit

Types of profit

Type of profit	What does it show?	How is it calculated?
Gross profit (GP)	• The difference between **revenue** and the costs directly related to production	GP = revenue – **cost of sales**
Operating profit (OP)	• The difference between the gross profit and the **indirect expenses** involved in operating the business	OP = gross profit – operating expenses
Net profit (NP)	• The difference between the operating profit and any **interest** paid and received, as well as any **one-off costs**	NP = operating profit – (net interest + exceptional costs)

Worked Example

An e-scooter manufacturer sells its products to retailers for £180 per unit. Variable costs are ⅔ of the selling price, with monthly fixed costs being £82,000. It sells 2,200 scooters a month.

The business pays £240 interest on a mortgage each month. This year, it purchased the patent for a new type of rechargeable battery for £17,000.

Stuck on something?
Ask questions and get help with exactly what you're revising.
Got it

Step 1: Calculate the variable cost per unit

$$= \tfrac{2}{5} \text{ of } £180$$

$$= £72$$

Step 2: Calculate the gross profit per unit (selling price – variable cost per unit)

$$= £180 - £72$$ [1]

$$= £108$$

Step 3: Calculate the gross profit per month (gross profit per unit × units sold)

$$= £108 \times 2{,}200$$

$$= £237{,}600$$

Step 4: Calculate the gross profit per year (gross profit per month × 12)

$$= £237{,}600 \times 12$$ [1]

$$= £2{,}851{,}200$$

Step 5: Multiply monthly fixed costs by 12 (months)

$$= £82{,}000 \times 12 \text{ months}$$

$$= £984{,}000$$

Step 6: Subtract the annual fixed costs from the annual gross profit

$$= £2{,}851{,}200 - £984{,}000$$ [1]

$$= £1{,}867{,}200$$

Step 7: Multiply the monthly interest by 12 (months)

$$= £240 \times 12$$ [1]

$$= £2{,}880$$

Step 8: Add the one-off purchase to the annual interest

$$= £17{,}000 + £2{,}880$$

$$= £19{,}880$$

Step 9: Subtract the interest and one-off costs from the operating profit

Help me understand

$= £1,847,320$

Examiner Tips and Tricks

You may not be asked to complete all of these calculations in one question.

The question may, for example, provide the gross profit and some other information and then ask you to calculate the net profit.

Look at the data carefully to ensure you are doing the correct calculation.

Statement of comprehensive income (profit and loss account)

- The statement of comprehensive income is an end-of-year financial statement that shows all of a business's **income and expenses over the previous 12 months**
- Each type of **profit is calculated** within the statement of comprehensive income
- The previous year's figures are also shown for comparison purposes

Example statement of comprehensive income for Head to Toe Wellbeing Ltd

	2022 (£)	2021 (£)
Revenue	124,653	121,791
Cost of Sales	18,922	22,646
Gross Profit	**105,731**	**99,145**
Administrative expenses	39,867	36,448
Operating Profit	**65,864**	**62,697**
Interest	2,043	2,952
Exceptional Costs	6,225	0
Profit for the year	**57,596**	**59,745**
Taxation	5,470	5,680
Profit for the year after tax	**52,126**	**54,065**

GROSS PROFIT = REVENUE – COST OF SALES

OPERATING PROFIT = GROSS PROFIT – EXPENSES

PROFIT FOR THE YEAR = OPERATING PROFIT – INTEREST & EXCEPTIONAL COSTS

PROFIT FOR THE YEAR AFTER TAX = PROFIT FOR THE YEAR – TAX

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The statement of comprehensive income shows revenue, gross profit, operating profit and profit for the year

Profit margins

- A profit margin is the amount by which the **sales revenue exceeds the costs**

better understand business performance
    - **Higher and increasing profit margins are preferable**, as it means that more revenue is being converted to profit

Gross profit margin

- This shows the **proportion of revenue** that is turned into gross profit and is expressed as a percentage
    - It is calculated using the formula

$$\frac{\text{Gross profit}}{\text{Revenue}} \times 100$$

Worked Example

Head to Toe Wellbeing Ltd's revenue in 2022 was £124,653. Its gross profit was £105,731.

Calculate Head to Toe Wellbeing's gross profit margin in 2022.

[2]

Step 1: Substitute the values into the formula

$$\text{GPM} = \frac{\text{Gross profit}}{\text{Revenue}} \times 100$$

$$= \frac{£105{,}731}{£124{,}653}$$ [1]

$$= 0.8482$$

Step 2: Multiply the outcome by 100 to find the percentage

$$= 0.8482 \times 100$$ [1]

$$= 84.82\%$$

Operating profit margin

- The **operating profit margin** shows the proportion of revenue that is turned into operating profit and is expressed as a percentage
- It is calculated using the formula

$$\frac{\text{Operating profit}}{\text{Revenue}} \times 100$$

Worked Example

Head to Toe Wellbeing Ltd's revenue in 2022 was £124,653. Its operating profit was £65,864.

[2]

Step 1: Substitute the values into the formula

$$\text{OPM} = \frac{\text{Operating profit}}{\text{Revenue}} \times 100$$

$$= \frac{£65{,}864}{£124{,}653}$$ [1]

$$= 0.5284$$

Step 2: Multiply the outcome by 100 to find the percentage

$$= 0.5284 \times 100$$ [1]

$$= 52.84\%$$

Net profit margin

- The net profit margin (also known as the **profit for the year margin**) shows the proportion of revenue that is turned into net profit before tax and is expressed as a percentage
- It is calculated using the formula

$$\frac{\text{Profit for the year}}{\text{Revenue}} \times 100$$

Worked Example

Head to Toe Wellbeing Ltd's revenue in 2022 was £124,653. Its profit for the year was £57,596.

Calculate Head to Toe Wellbeing's profit for the year margin (net profit) in 2022.

[2]

Step 1: Substitute the values into the formula

$$\text{NPM} = \frac{\text{Profit for the year}}{\text{Revenue}} \times 100$$

$$= \frac{£57{,}596}{£124{,}653}$$ [1]

$$= 0.4621$$

Step 2: Multiply the outcome by 100 to find the percentage

$$= 0.4621 \times 100$$ [1]

$$= 46.21\%$$

profitability

- There are several steps a business can take to **improve profitability**

Main ways to improve profitability

Businesses can improve profitability by reducing costs or increasing revenue

Raising prices

- If costs remain the same, raising prices will improve profitability, as the **difference** between the selling price and the cost is now greater
  - Raising prices is likely to have an impact on demand, so a business must understand the **price elasticity of demand** for its products
    - Where demand for products is **price elastic**, increasing prices will result in lower revenue — in this case, profitability will be reduced
    - Where demand for products is **price inelastic**, increasing prices will increase revenue — in this case, profitability will rise

Reducing variable costs

- This may involve purchasing cheaper/alternative resources, negotiating with suppliers or **purchasing in bulk**
  - Businesses must ensure that reducing variable costs will not have an **adverse effect on the quality or desirability** of products
  - Buying stock in greater quantities may require investment in **increased storage space**, which will reduce the impact of the cost savings made
  - Businesses may also be able to reduce the **waste** of raw materials and components

Reducing other expenses

- Reducing staffing levels, relocating to cheaper premises or changing utility companies can reduce expenses
  - Reducing staffing levels may affect **staff morale** and negatively affect **productivity**

require staff **training**

Reducing one-off costs and interest charges

- Delaying the purchase of fixed assets, entering **leasing** arrangements or restructuring borrowing can reduce costs
  - Delaying purchases of new fixed assets (e.g. machinery or vehicles) may negatively impact **capacity utilisation** as a result of increased breakdowns and maintenance of the old equipment
  - The **leasing** of equipment (e.g. photocopiers) can reduce one-off purchase costs, but the business never owns these **assets**, which weakens the **balance sheet**
  - Restructuring borrowing can result in lower monthly payments but **requires lenders to agree to new terms**, which they may not be willing to do

The distinction between profit and cash

- Profit and cash are different financial terminologies
  - Profit is simply t**he difference between revenue generated and business costs**
  - Cash is measured by taking into account the full range of **money flowing in and out of a business**

- A new business may have to **pay cash on purchase for all its supplies** until a good business relationship has built up a level of trust with its suppliers
  - A supplier may then give the business **trade credit** of 30 or 60 days
  - This means that the business can receive its stock now and only pay for it in 30 or 60 days, so the cash outflow is delayed
  - As the business **sells its products**, it receives money generated from the business revenue, and this represents **a cash inflow**
  - **At the end of 60 days**, **the business will pay its supplier** (cash outflow), but the firm may **still have stock available for sale**

- A profitable business is likely to fail if it **does not have sufficient cash**
  - Cash-poor businesses will struggle to pay their suppliers
    - E.g. lifestyle retailer Joules announced plans to **liquidate** in December 2022 as a result of cash flow difficulties despite making a profit of £2.6 million during the previous year

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